

KCB Group 1H21 Earnings Note

KCB Group's 1H21 PAT surged 101.92% y/y to KES 15.30B**,** above our forecast of KES 9.80B**,** fueled by a 13.86% y/y increase in interest income to KES 47.12B, a 5.94% y/y increase in NFI to KES 14.79B, and a 40.30% y/y drop in loan loss provisions to KES 6.58B.

KCB's Board of Directors did not recommend the payment of dividends as they sought to conserve cash.

- **Loan book growth:** The loan book grew 8.41% y/y to KES 606.97B driven by growth in lending to households and manufacturing sectors. However, this was below our expectations of a 10% growth in net loans and advances. Interest income grew 13.86% y/y to KES 47.12B boosted by growth in the loan book, and increased investment in government securities due to increased liquidity in government paper.
- **Single-digit growth in other operating expenses:** Total other operating expenses grew 7.22% y/y to KES 22.71B on the back of a 21.35% growth in staff costs and 43.13% y/y growth in rental charges. Meanwhile, interest expense edged up 3.77% y/y to KES 10.70B, attributed to a 3.67% y/y uptick in customer deposits.
- **Deteriorating asset quality:** Gross NPLs increased 11.7%% y/y to KES 95.73B while the NPL ratio increased to 14.3%, marginally above the industry average of 14.0%, from 13.1% in 1H20. The surge may be attributed to the bank's relatively high exposure to the Hospitality sector (4.4% of the loan book versus the 3.4% exposure of other banks) which was adversely affected by the pandemic. Loan loss provisions decreased by 40.30% y/y to KES 6.58B on the back of improving economic conditions. However, we remain weary of the asset quality as businesses in some sectors such as tourism may take long to recover from the effects of the pandemic.
- **Regional performance:** The group's subsidiaries reported positive growth in profitability, which the exception of KCB Uganda, whose profitability declined 16% y/y to KES 182Mn. NBK reported the highest growth in profitability, a 446% y/y surge to KES 1.02Bn

Outlook

The Group's performance was above our expectation of an increase in earnings driven by a drop in loan loss provisions and an uptick in interest income. We remain optimistic of an improvement in the business environment with the increased private sector credit growth, and the continued roll out of Covid-19 vaccinations.

19th August 2021

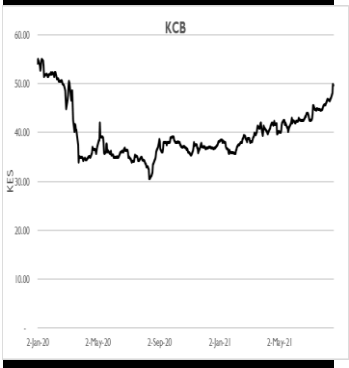
Current price: KES 49.70

Target price: KES 52.45

Upside: 5.5%

52 Week Low: KES 31.30

52 Week High: KES 49.90



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Table 1 : Financial Statement Summary

Income Statement(KES Millions)	30-Jun-21	30-Jun-20	% change
Interest Income	47,118	41,382	13.86%
Interest Expense	10,702	10,313	3.77%
Net Interest Income	**36,416**	**31,070**	17.21%
Non Interest Income	14,794	13,964	5.94%
Total Operating Income	**51,210**	**45,033**	**13.72%**
Total Other Operating Expenses	(22,711)	(21,181)	7.22%
Loan Loss Provision Expense	(6,583)	(11,027)	-40.30%
Operating Expense	(29,294)	(32,208)	-9.05%
Profit before tax	**21,916**	**12,825**	70.89%
Tax	(6,615)	(5,247)	26.06%
Profit for the period	**15,301**	**7,578**	101.92%
Basic & Diluted EPS	8.53	5.33	60.04%
Gross NPL	95,733	83,884	14.12%

Balance Sheet (KES Millions)	30-Jun-21	30-Jun-20	% change
Cash with CBK.	48,889	48,572	0.65%
Govt Securities - HTM.	106,067	85,625	23.87%
Govt Securities - Trading & AFS.	89,011	106,351	-16.30%
Loans and Advances to Banks.	52,549	53,328	-1.46%
Loans and Advances to Customers.	606,967	559,884	8.41%
Total Assets	**1,022,153**	**953,072**	**7.25%**
Deposits from Customers.	786,035	758,241	3.67%
Deposits with other Banks.	15,006	13,362	12.30%
Other Money Market Deposits	-	-	-
Borrowed funds	35,042	21,377	63.93%
Balances due Intergroup	-	-	-
Total Liabilities	**869,233**	**820,933**	**5.88%**
Total Shareholder Equity	**152,920**	**132,139**	**15.73%**

Source: Company filings, AIB-AXYS



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